EXECUTIVE ADVISORY BRIEF

SRAM AI Adoption Executive Outline

Date: February 28, 2026 | Company: SRAM LLC (private; SRAM = Scott, Ray, and Sam)

Prepared by Donovan Palmer

1) Where SRAM Is Well Positioned for AI

- SRAM has a large, structured support knowledge base (manuals, compatibility guides, troubleshooting, warranty guidance), which is strong AI input.
- SRAM also has connected product workflows through AXS and Hammerhead. AXS is SRAM's wireless electronic shifting ecosystem and app experience; Hammerhead is SRAM's cycling computer platform for ride and device data.
- Those connected interactions (setup, firmware updates, diagnostics, usage data) create practical data loops for better support and smarter recommendation workflows.

2) Target Processes, Pain Points, Tools, and Why Each Tool Fits

1) Rider/dealer support, warranty, compatibility help

Main pain point: Teams spend too much time searching documents and repeating standard troubleshooting steps.
AI tool stack: Zendesk AI + Azure AI Search + OpenAI via Responses API.
Why fit: Zendesk fits current ticket operations, Azure AI Search finds approved content quickly, and OpenAI turns retrieved content into clear response drafts.

2) Demand forecasting and inventory allocation

Main pain point: Forecast misses lead to stockouts, rush shipping, and markdown losses.
AI tool stack: Vertex AI Forecasting or Databricks.
Why fit: Strong for time-series forecasting and planner exception handling across multi-channel product portfolios.

3) Bicycle manufacturer proposal and spec package creation

Main pain point: Proposal cycles are slow and manual, delaying response and lowering win rates.
AI tool stack: Salesforce Einstein/Agentforce + CPQ features.
Why fit: Fits existing quoting and package-configuration workflow, improving speed and consistency.

4) Technical documentation and translation

Main pain point: Updates take too long to appear in manuals and localized content.
AI tool stack: OpenAI + DeepL API + workflow automation (Atlassian/ServiceNow).
Why fit: Accelerates draft + translation cycle while preserving review and approval controls.

5) Compatible next-part recommendations (Phase 3)

Main pain point: Customers often finish purchase/service without clear guidance on next compatible part.
AI tool stack: Compatibility rules engine + recommender + OpenAI explanation layer.
Why fit: Rules protect fit accuracy, recommendation model lifts basket value, and explanation layer improves trust.

6) Product development workflow support (Phase 3)

Main pain point: Engineering teams need faster translation of field issues into product requirements and quicker test planning cycles.
AI tool stack: OpenAI + issue/telemetry analytics + test-workflow automation.
Why fit: Supports requirements mining, firmware test acceleration, and design-review preparation without jumping to full design automation. Not included in Year-1 financial totals.

3) Year-1 Cost Reduction

Forecast format: conservative / expected / upside

Support assistant savings	Forecasting and inventory savings	Documentation and translation savings
$0.5M / $1.6M / $4.3M	**$0.7M / $1.6M / $4.5M**	**$0.1M / $0.24M / $0.9M**
AI helps agents resolve more tickets faster with	Lower avoidable loss from stockouts,	Less manual content effort and faster publish cycle.

4) Year-1 Revenue Growth

Forecast format: conservative / expected / upside

Keep more existing customers buying SRAM	Larger multi-brand package sales	More bicycle manufacturer wins via faster proposals
$1.5M / $3.0M / $4.5M	**$2.0M / $4.0M / $8.0M**	**$1.3M / $2.5M / $3.8M**
Better support and clearer compatibility	More deals include complementary products across	Faster, clearer proposals improve win

fewer escalations.

Expected-case math: 120 people x $90K x 60% AI-helpable work x 35% productivity gain x 70% adoption.

expedites, and markdowns.

Expected-case math: $200M inventory exposure x 4% avoidable loss x 20% captured.

Expected-case math: 20 people x $85K x 50% workload x 40% reduction x 70% adoption.

guidance improve repeat purchase behavior.

Expected-case math: $300M affected revenue x 1.0% improvement.

the SRAM brand family.

Expected-case math: $400M targeted revenue x 1.0% package-size improvement.

rates on qualified opportunities.

Expected-case math: $250M opportunity pool x 1.0% win-rate improvement.

5) Net Financial Picture, Rollout, and Risk Controls

GROSS VALUE	SETUP COST (YEAR 1)	OPERATING COST (YEAR 1)	NET YEAR-1 VALUE
$6.1M / $12.9M / $26.0M	**$1.2M / $2.0M / $2.5M**	**$0.4M / $0.7M / $1.0M**	**$4.5M / $10.2M / $22.5M**

Expected-case return on spend: about 3.8x ($10.2M net / $2.7M total spend).

Rollout sequence

- **0-90 days:** support + compatibility assistant pilot with tight scope.
- **Start scope:** AXS drivetrain + Hammerhead device support, dealer inbox + high-volume web forms, compatibility and firmware/update issues first.
- **Pilot decision rule:** AI drafts responses; human agents approve all customer-facing responses.
- **90-180 days:** forecasting rollout for top product/channel groups.
- **180-365 days:** expand to bicycle manufacturer proposal support and multi-brand recommendation workflows.

Risk controls

- Human approval for warranty and safety exceptions.
- Compatibility answers sourced from approved documents only.
- Weekly quality review with rollback trigger if quality drops for two consecutive weeks.

6) CEO Decision

- Approve a focused 90-day Phase 1 pilot for support and compatibility.
- Approve this exact starting scope: AXS + Hammerhead support workflows in dealer/support channels, with compatibility and firmware/update issues first.
- Assign one accountable business owner and one cross-functional delivery team.
- Maintain sequencing discipline: bounded, well-defined problems first; broader transformation after measured proof.